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The $75 Pricing Formula

Price your bags at $75 or more without scaring customers away



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> *You do not need a business degree to price a handmade bag. You need one simple formula, a little honesty about your time, and the confidence to say your number out loud. This guide gives you all three.*

Please read first

All prices and examples in this guide are illustrations to help you do the math. Prices depend on your local market, your skill, your materials and your customers. Nothing here guarantees that any bag will sell or at what price. This is an educational guide, not legal, tax or financial advice.

1. Why Pricing Feels So Hard

Most of us were taught to be modest. So when we make something with our hands, we price it like a favor to a friend: just enough to cover the yarn, and a little extra if we feel brave.

The result is a bag that took you an afternoon, looks like it came from a boutique, and sells for $15. The buyer is happy. You are tired and a little resentful. And the next buyer expects $15 too.

A good price does the opposite. It pays you for your materials, pays you for your time, leaves a little profit to grow, and signals to the buyer that this is a quality piece. Let's build it step by step.

2. The Formula

Here is the whole method in one line. Keep it on a sticky note.

The $75 Pricing Formula

Price = (Materials + Hardware + Packaging) + (Your hours x Your hourly rate) + Profit margin, then adjust for perceived value.

Let's break each part down so there are no surprises.

1. **Materials.** The plastic canvas (7-count), the worsted-weight yarn, and the felt or fabric lining. Count only what you actually used, plus a small allowance for scraps.
2. **Hardware.** Chain, metal handle, twist lock, clasp or magnetic snap. This is often the biggest single cost on a larger bag.
3. **Packaging.** Tissue paper, a dust bag or a small box, a thank-you card. Even if it is only a dollar or two, count it.
4. **Your time.** Total hours from first stitch to final glue, including lining and finishing. Use a timer for your first few bags.

5. **Your hourly rate.** What you want to earn for an hour of skilled handwork. Start at $8 to $12 an hour if you are new, and move up as your speed and finish improve.
6. **Profit margin.** A cushion on top, usually 10% to 20% of your costs. It pays for supplies you replace, fees, mistakes and growth.
7. **Perceived-value adjustment.** A final nudge up or down based on design, finish, story and how the bag is presented.

> **Do not forget platform fees**
>
> If you sell on a site like Etsy or eBay, fees and shipping costs come out of your price. Add them to your cost side before you add profit. Fees change over time, so check the current numbers on the platform.

3. Three Worked Examples

Below are three bags built from the patterns in your collection. Material costs are realistic ranges. Prices vary by store, region and season, so treat every number as a starting point and replace it with your own receipts.

Example A: The Mini Clutch

A small evening clutch with a simple clasp. It is a one-afternoon project and a great first seller.

ITEM	COST OR AMOUNT	NOTES
Plastic canvas and yarn	around $3 to $5	Small pieces, little waste
Lining (felt)	around $1 to $2	One sheet covers several bags
Hardware (clasp or snap)	around $1 to $3	Simple, reusable styles keep this low
Packaging	around $1	Tissue and a small card
Total supply cost	around $6 to $11	Use $9 for the math below
Your time	3 hours at $12 per hour = $36	Count the timer, not your guess
Profit margin (15% of $45)	around $7	
Formula price	around $52	Before the value adjustment

On its own, the Mini Clutch lands in the $50s. With a polished finish, a neat lining and a pretty presentation, many makers choose to ask $55 to $65 for it. That is a perfectly honest price for a small

piece.

Example B: The Classic Everyday Bag

A medium bag with a metal chain or handle and a magnetic closure. This is the one most customers picture when they think of your work.

ITEM	COST OR AMOUNT	NOTES
Plastic canvas and yarn	around $6 to $10	Several colors add up
Lining (felt or fabric)	around $2 to $4	
Hardware (chain, snap or lock)	around $4 to $9	Quality hardware looks richer
Packaging	around $2	Dust bag or tissue and a card
Total supply cost	around $14 to $25	Use $20 for the math below
Your time	5 hours at $12 per hour = $60	Includes lining and finishing
Profit margin (15% of $80)	around $12	
Formula price	around $92	Before the value adjustment

Notice that the formula already lands above $75, and the supplies are only about a fifth of the price. Most of what the customer pays for is your skill and your time. That is exactly how it should be.

Example C: The Large Tote

A roomy tote for work, markets or weekends. It uses more canvas, more yarn and stronger handles.

ITEM	COST OR AMOUNT	NOTES
Plastic canvas and yarn	around $12 to $20	Large panels, more yarn
Lining (fabric)	around $4 to $7	Sturdier lining helps the shape
Hardware (handles, rings, lock)	around $8 to $16	
Packaging	around $3	A dust bag is a nice touch
Total supply cost	around $27 to $46	Use $36 for the math below
Your time	9 hours at $12 per hour = $108	Large bags take real time

ITEM	COST OR AMOUNT	NOTES
Profit margin (15% of $144)	around $22	
Formula price	around $166	Before the value adjustment

A tote like this may feel like a big number. Remember that it could take you close to two working days. If your local market will not pay that, you have options: make the tote smaller, simplify the stitch pattern, or sell it as a made-to-order piece with a deposit.

4. Why $75 Is a Reasonable Floor

We call $75 a floor, not a target. It is the point where a well-finished, boutique-quality plastic canvas bag starts to make sense for a maker who values her time. Here is why.

- **The math.** A medium bag with $15 to $20 of supplies and about 4 to 5 hours of work needs roughly $70 to $90 to pay you a modest hourly rate. $75 sits inside that range.
- **The category.** Handmade, fully lined bags with real hardware are not in the same group as mass-produced bags. Shoppers who look for handmade expect to pay more, and many are glad to.
- **The signal.** A price that is too low makes buyers wonder what is wrong with the bag. A fair price says the work is careful.
- **The sustainability.** At $15 you would need to sell dozens of bags to earn anything. At $75 a few sales can make the hobby pay for itself.

> **Be honest about your market**
>
> $75 is a guide, not a promise. A craft fair in a small town, an online shop and a local boutique all have different buyers. Look at what similar handmade bags are listed for near you, and start where you feel confident. It is fine to test a lower price on your first few bags while you build your speed and your photos.

5. When to Charge More

Some bags deserve to go well above the formula. Raise your price, with a clear conscience, when:

- The design is complex, such as petit point florals, bargello waves or mosaic patterns that take many extra hours.
- The hardware is premium and obviously nicer than the average.
- The bag is custom: the buyer chose the colors, the initials or the size.
- It is a rush order that interrupts your regular schedule.

- It is a wedding, bridesmaid or gift order with special packaging.
- You sell a limited edition and will not make the bag again.
- You have a waiting list. Demand is the best sign that your price can go up.

6. Your Pricing Worksheet

Fill this in for every new bag design. Use a pencil, or copy it into a notebook. After two or three bags you will do it in your head.

LINE	WHAT TO WRITE	YOUR NUMBER
A. Materials	Canvas, yarn, lining	$_____
B. Hardware	Chain, handle, lock, snap	$_____
C. Packaging	Tissue, bag, card	$_____
D. Platform or selling fees	Estimate per sale	$_____
E. Total costs	A + B + C + D	$_____
F. Hours worked	Total, start to finish	_____ hours
G. Hourly rate	What you want per hour	$_____
H. Labor	F x G	$_____
I. Profit margin	10% to 20% of (E + H)	$_____
J. Formula price	E + H + I	$_____
K. Value adjustment	Plus or minus, with a reason	$_____
L. Final price	J + K, rounded to a clean number	$_____

BEFORE YOU SET THE FINAL PRICE

- [ ] I timed my work instead of guessing.
- [ ] I counted hardware and packaging, not just yarn.
- [ ] I checked what similar handmade bags sell for in my area.
- [ ] My final price still pays me at least my minimum hourly rate.
- [ ] I rounded to a clean number like $75, $85 or $95.

7. How to Present Your Price

The way you say the price matters almost as much as the price itself. Here are four habits that make a difference.

Do not apologize

Avoid phrases like 'It's only' or 'Sorry, it's a bit pricey.' State the price in a calm, plain sentence: 'This one is $85.' Then stop talking and let the buyer look.

Anchor with the time

Tell the story of the work in one sentence: 'Every stitch is counted by hand, and this bag takes about five hours from start to lining.' You are not justifying yourself. You are helping the buyer see what they are paying for.

Offer two options

People like to choose. Offer a simple version and a deluxe version of the same design, for example a standard chain for $75 and an upgraded chain with a custom lining for $95. Most buyers compare the two instead of deciding whether to buy at all.

Show the finish

Take clear photos of the lining, the hardware and the inside corners. Details like these make a higher price feel natural.

8. When Someone Says 'That Is Too Expensive'

It will happen, and it is not a rejection of you. Stay warm and curious. Here are three calm answers you can adapt.

WHAT YOU HEAR	WHAT YOU CAN SAY
'That is a lot for yarn.'	'I understand. The yarn is only a small part. Most of it is the five hours of counting and stitching, plus the lining and the hardware.'
'Can you do it for less?'	'I keep my prices fair so I can keep the quality. I can make a smaller version for a lower price if you like.'
'I can get a bag for $20 at a store.'	'You can, and those are made by machine. This one is handmade, one of a kind and made to last.'

If someone still says no, thank them kindly and move on. Not everyone is your customer, and that is perfectly fine. Never lower the price on the spot out of nervousness. If you want to offer a discount, do it on purpose, as described below.

9. Bundles and Honest Discounts

The two-bag bundle

A bundle is a kind way to raise your average sale. Pair a Mini Clutch with a Classic bag in matching colors. If the two together would be $52 plus $92, you might offer the set for $135. The buyer saves a little, you sell two bags in one conversation, and your packaging and shipping are shared.

- Keep the saving modest, usually 5% to 10%.
- Bundle bags that go together by color or theme, so it feels like a set.
- Never discount below the point where you still earn your hourly rate.

Discounts you can feel good about

- A small thank-you for a returning customer.
- A launch price for your first few buyers, clearly labeled as temporary.
- A seasonal sale, with an end date.
- A discount for ordering several bags for a group, such as bridesmaids.

> **Avoid the permanent sale**
>
> If everything is always on sale, the 'real' price stops meaning anything. Keep discounts rare, specific and honest, and always say why.

10. How to Raise Your Prices Over Time

Your first price is not your forever price. As you get faster and your finish improves, your work becomes more valuable, and your prices should follow.

1. Review your prices every three months, using your timer notes and your receipts.
2. Raise by small steps, around $5 to $10 at a time, rather than one big jump.
3. Raise on new designs first. Keep older listings steady until you are ready.
4. Raise when you have a waiting list, repeat customers or lots of compliments.
5. Tell existing customers early if you are changing prices, with a friendly note.

Most buyers hardly notice a small increase, and the ones who do usually understand. A slow, steady climb is easier on you and on them.

11. Common Pricing Mistakes

MISTAKE	WHY IT HURTS	THE FIX
Pricing at the cost of yarn only	You work for free	Always add your time
Forgetting hardware and packaging	Small costs add up fast	List every item on the worksheet
Guessing the hours	You usually underestimate	Use a timer for the first bags
Comparing yourself to factory prices	Wrong comparison	Compare with other handmade sellers
Pricing for friends and family	Sets a price you cannot keep	Give gifts as gifts, sell as a business
Ignoring fees and shipping	Cuts your profit	Add them to your costs first
Dropping the price when nervous	Teaches buyers to wait	Offer a smaller bag instead
Never raising prices	You get paid less every year	Review every three months

12. A Simple Example of the Numbers

To show how the pieces can add up, here is an arithmetic example. It is not a forecast. Your time, market and effort will decide what really happens.

If you made one Classic bag in a week and sold it for $85, with $20 in costs, you would keep about $65 before fees and taxes. If you sold four bags in a month at that price, the same math would give you

about $260. If you decided to make and sell more, the totals would change, and so would your hours.

Always compare the money to the hours. A price only works if the number you earn per hour feels fair to you.

> **Reminder**
>
> This guide is educational. It does not guarantee sales, income or any particular price, and it is not legal, tax or financial advice. Check your local rules about selling handmade goods and reporting income.

Next Step

Pick the bag you most want to sell and fill in the worksheet in section 6 today. Time yourself on the next one you stitch. Then write down your final price, say it out loud three times, and use it with confidence the first time someone asks.